STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

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Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service.	CASE 19-G-0309
Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corp. d/b/a National Grid for Gas Service	CASE 19-G-0310

INITIAL BRIEF OF THE PUBLIC UTILITY LAW PROJECT OF NY

Dated: April 6, 2020 (Corrected April 15, 2020)

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I. INTRODUCTION

The Public Utility Law Project, Inc. ("PULP") is a nonprofit organization incorporated in 1982 to promote and defend the rights and interest of low- and fixed-income utility consumers in matters affecting affordability, consumer protection and universal service. PULP's mission includes educating the public, regulators, and elected officials about the impacts of utility rates; conducting research on the rights and energy, housing, and water burdens borne by utility consumers; and advocating with an emphasis on the rights and needs of low-income utility consumers. Consequently, PULP's testimony in this case has been focused on providing examples of how the Brooklyn Union Gas Company d/b/a National Grid NY ("KEDNY") and KeySpan Gas East Corporation d/b/a National Grid ("KEDLI") (collectively, the "Companies"), the Department of Public Service ("DPS"), and the Public Service Commission ("PSC" or "Commission") could ameliorate the difficulties many of the Company's low- and moderate-income customers are having paying their bills. PULP also raised questions and concerns with proposed actions by the Companies, including site and remediation costs as well as costs associated with the moratorium that in our opinion, would create harmful bill impacts that have not properly been considered during this proceeding.

PULP's initial testimony, filed on August 31, 2019, included several recommendations including modifications to customer service programs and operations that would better assist customers while providing efficiencies for the Companies. PULP also made recommendations regarding alternate rate designs that would reverse regressive impacts upon low-income and low-usage (*i.e.*: "green") households and would incentivize excessive energy users to conserve. To best serve the public's interest, PULP urges the Administrative Law Judges ("ALJs") to recommend that the Commission adopt the following conditions:

- A commitment by the Companies to limit the total Bill Impacts for average usage customers to no more than two percent (2.0%) per rate year;
- A commitment by the Companies to refresh the underlying forecasts and calculations in the record before a Recommended Decision ("RD") is issued due to the economic hardship created by the "novel coronavirus" ("CV-19). Alternately, if Your Honors do not require this and other portions of the record to be refreshed before an RD is issued, PULP respectfully requests that the least-cost alternative affecting residential and small business ratepayers

proposed by Staff or other active parties be given strong consideration as a temporary (i.e., one year) measure to limit harmful bill impacts during this public health emergency period and the Statewide and Industry-wide effects of CV-19 and State "shelter at home" policies;

- A commitment by the Companies to remain in regular contact and communications (at least quarterly) with the elected officials and community members residing in the neighborhoods within the operating proximity to the facility of the Newtown Creek renewable natural gas project so that there is improved awareness about the project and discussions to better address any local concerns;
- A commitment by the Companies that all expenditures arising from the moratorium and the remedial measures ordered in Case 19-G-0678 be held in deferral until the cessation of expenditures by the Companies to litigate and/or settle civil lawsuits brought against KEDNY/KEDLI by residential and business customers harmed by the moratorium, or subjected thereto;
- A commitment by the Companies to pursue replacing their legacy customer information systems ("CIS") through a separate petition to be filed with the Commission. However, if any changes to the CIS system are approved by the Commission in this rate case, PULP requests that such changes focus only upon remedying long-standing customer service operations problems, including those addressed by the proposals PULP has advocated for in William Yates' testimony, including the creation of a customer portal;
- A commitment by the Companies to allocate 100% of KEDNY's share of earnings-sharing to reduce deferred Site Investigation and Remediation (SIR) costs or in the alternative, if no earnings-sharing mechanisms are approved in the rate year, a commitment by the Companies' shareholders to share in the payment of the SIR costs would be sufficient;
- A commitment by the Companies to assist with the new affordability crisis for ratepayers and the liquidity crisis for the utilities created by the CV-19 health pandemic by using the unprotected Deferred Federal Income Taxes ("EDFIT") monies from unprotected plant non-plant balances s in the following manner: First, one-half of the monies should be allocated to the low-income residential customers' Affordability Program so that that arrears for vulnerable households do not increase beyond any likelihood of their being able to be paid, and so that such customers will receive greater SafetyNet protection within the program without exceeding the 2% threshold. Second, the other half of the unprotected EDFIT monies should also be divided in half with 50% being used as added rate moderation in the one-year rate plan resulting from this case, and the other 50% should be used at the end of the public health emergency and moratoria to pay down the arrears/uncollectibles
- A commitment by the Companies, but specifically KEDLI, to vastly expand enrollment of residential customers in their energy assistance programs ("EAPs"), including adding a one-half full time equivalent ("FTE") resource, as proposed by the Companies, for a total of one whole additional FTE;

- A commitment by the Companies to accelerate the return to customers of excess unprotected EDFIT such that all net benefits are returned during the rate plan resulting from these proceedings. Specifically, returning EDFIT funds to customers over the next two-years would help avert the economic effects created by the CV-19 health pandemic;
- A commitment by KEDNY to end the requirement that residential customers, and particularly elderly, blind and disabled customers, must physically appear in person at customer service centers to provide evidence of their need for more affordable deferred payment agreement ("DPA") terms;
- A commitment by the Companies to create an online customer portal where information will be easily obtainable including but not limited to, access to six years of detailed billing data; information relating to "abeyance" transfer amounts associated with bill for customers receiving public assistance ("PA") benefits; helping PA customers and Companies to monitor § 131-s, utility guarantee customers ("UGC")/direct voucher customers ("DVC") and the status of the Home Energy Assistance Program ("HEAP") in a more timely manner; to track the progress of applications for customers who want their accounts coded for elderly, blind or disabled ("EBD") customers and/or medical emergency status and more;
- A commitment by the Companies to accelerate efforts to provide energy efficiency assistance to high-usage residential customers who are EAP participants, with any associated earnings incentive mechanisms associated with this goal – if such are recommended in the RD -- to have set targets for incremental efficiency savings based on actual customer outcomes;
- A commitment by the Company to modify the Terminations and Uncollectibles EAM to include an arrears component, as well as updating positive revenue adjustments ("PRAs") targets and added negative revenue adjustments ("NRAs"), if such is recommended in the RD. Such targets should be updated as of the month before any Order is issued in these proceedings;
- A commitment by the Company to start a multi-party collaborative during the Rate Year to explore and propose alternative residential rate designs for potential adoption in future rate plans. This multi-party collaborative would study and prepare a report upon the advisability of having the Company adopt alternative residential class rate designs ("Green Rate Designs"), the purpose of which would be to achieve greater affordability for all average and lower usage customers, including low-income customers, through the implementation of rate designs that incentivize energy conservation and efficiency in support of New York State's clean energy goals.

PULP believes that these fourteen conditions are necessary to avert the Companies' substantial undermining of affordability during the evolving economic, political, and societal climate that the Companies' ratepayers face in the upcoming year(s). No double-digit

increases can be allowed, especially in light of COVID-19 and the drastic short- and long-term financial effects on all of New York State's residents, which is especially true in the Companies' service territories. Based on the evidence presented by PULP in this brief, these conditions will help avoid further erosion of affordability within the Company's service area, which in PULP's position, is a necessary precursor to any approval of a rate filing based on fully litigated positions as opposed to a settlement.

Where PULP has not provided a litigated position, or evidence for one from the cross examinations, PULP has generally supported the positions of DPS Staff and/or other intervening parties. Finally, PULP notes that the absence of a discussion of any individual or group of issues from the "template" outline does not constitute and should not be interpreted as support for the Companies' positions.

II. PROCEDURAL BACKGROUND

On April 30, 2019, KEDNY and KEDLI filed amendments to their gas tariff schedules with the Commission, seeking an increase to revenues by $236.8 million (19.3%) and $49.4 million (6%), respectively, for the twelve months ending March 31, 2021 ("Rate Year"). A procedural and technical conference was held on May 13, 2019 in Albany, New York. On June 11, 2019, the Companies filed their first set of supplemental testimonies discussing the revenue requirement and other impacts to the Companies' rate filings in the event the Transcontinental Gas Pipe Line LLC's Northeast Supply Enhancement ("NESE") project was not available during the proposed rate plan period(s).

Public statement hearings were held for KEDNY: Wednesday, July 31, 2019 at City University of New York Law School in Long Island City, New York and Brooklyn Borough Hall, in Brooklyn New York; Wednesday, August 21, 2019 at St. George Library Center in Staten Island, New York. For KEDLI, public statement hearings were held on Wednesday, July 31, 2019 at Nassau County Legislative Chambers in Mineola, New York and the Suffolk County Legislature in Smithtown, New York. A hearing was also held on Thursday, August 1, 2019 at the Suffolk County Legislature in Riverhead, New York.

Parties to the rate case and DPS Staff filed their initial testimony on August 30, 2019. On September 10, 2019, the Companies, pursuant to 16 NYCRR § 3.9(a) of the Commission's Rules and Regulations, submitted a Notice of Impending Settlement Negotiations in these proceedings. Rebuttal testimony was filed by the Companies, DPS staff and several parties on September 18, 2019. Settlement negotiations commenced for a brief period of time but ended in late September 2019 due to concerns involving, among other things, the Companies' moratorium on natural gas, which had given rise to an investigation consolidated as Case 19-G-0678. In light of said moratorium and its effects upon ratepayers, DPS Staff refused to continue settlement negotiations, leading to the fully litigated proceeding in which this brief is being submitted subsequent to cross examination.

A telephone procedural conference was held on November 7, 2019 to discuss the evidentiary hearing schedule. On November 12, 2019, the Companies submitted a letter to the Commission, requesting a third one-month extension of the suspension period through and including July 1, 2020. On November 14, 2019, the Commission issued an Order modifying the date for evidentiary hearing that was scheduled to commence on January 6, 2020.

On November 26, 2019, the Commission issued at Order Adopting and Approving Settlement in Case 19-G-0678. Following the Order, the Companies and DPS Staff requested that the procedural schedule be modified to allow supplemental testimony to be filed on issues impacted by the November 26 Order and to change the dates for the evidentiary hearing currently scheduled to commence on January 6, 2020.

On December 13, 2019, the Companies filed a secondary set of supplemental testimony. On January 20, 2020, DPS staff and some parties filed responses to the Companies' secondary supplemental testimony. Evidentiary hearings commenced on February 10, 2020 and concluded on February 25, 2020. The procedural schedule originally called for post-hearing briefs to be due on March 23, 2020 with reply briefs due on April 3, 2020. Following the CV-19 health pandemic, the ALJs issued an order on March 18, 2020 which modified the schedule so that post-hearing briefs would be due on April 6, 2020, with reply briefs due on April 21, 2020. On March 30, 2020, PULP filed a letter motion requesting that the ALJs direct the Companies to refresh the calculations and projections that underly their proposed revenue requirement (i.e., projections of an inflation rate, calculations underlying a proposed ROE,

calculations/projections of forward-looking commodity prices and sales, and other elements of a revenue requirement) due to the economic effects of CV-19. PULP argued that the Recommended Decision ("RD") proffered in this case must be based upon updated projections, economic figures and other relevant and accurate data. On April 2, 2020, both DPS Staff and the Companies filed replies opposing PULP's Motion. AARP filed a reply in support of PULP's Motion. As of the time of PULP's submission of this Brief, a Decision on the Motion had not been issued.

III. SUMMARY OF REVENUE REQUIREMENT AND RATE DRIVERS

PULP generally supports Staff's identifications of the major rate drivers in these cases, and their imputation of such drivers in the revenue requirements. In an non-exhaustive list, PULP notes the following proposed investments and non-investment expenditures: the Companies are continuing to invest in resilience and survivability of their networks, and gas safety generally, including leak prone pipe replacement; KEDNY proposed spending on a new Customer Service System ("CSS") and information technology ("IT") expenses generally; replacing aging pipeline and work on KEDNY's Metropolitan Reliability Infrastructure ("MRI") project; and a series of pilot and "Future of Heat" ("FOH") programs. Concerning the non-investment spending, both KEDNY and KEDLI's local tax burdens have increased, with KEDNY's increases and cost of construction in New York City both skyrocketing.

All of these added up to initial proposed rate increases of just short of $300 million, a number that was altered during the Companies' two supplemental/refresh testimonies required by the ALJs. PULP notes here that it believes that these numbers are "stale" and need to be refreshed through a complete resubmission of KEDNY and KEDLI's calculations, base statistics, forecasts and other elements making up all of the drivers of their revenue requirement. That said, as noted above, PULP generally supports Staff's identification of major rate drivers, although we question the need for any of the Companies' pilot and Future of Heat expenditures during the current public health and economic crisis. Instead, PULP believes the Companies should be required to present "austerity" rate plans such as those imposed by the Commission during the Great Recession in an attempt to avert a deeper unaffordability, shutoff and arrears crisis. Austerity rate plans are discussed in greater detail in the following section.

IV. REVENUES

A. Gas Sales Forecast

PULP asserts herein that the forecasts of gas sales for the proposed one-year rate plan cannot be relied upon due to a number of factors, chief among which is Governor Cuomo's "New York on PAUSE" Executive Order, which required 100% of non-essential nonprofit, private sector and public sector personnel to work from home and maintain "social distancing" to stop the spread of CV-19. This policy has resulted in a significant transfer of electric and gas usage from commercial and industrial customers to residential customers (including small and large MDUs, small and large owner-occupied structures, and religious/nonprofit customers), and the reasonably complete cessation of use by small and large commercial "non-essential" customer premises. At this time the outcome(s) of the inter- and intra-class transfers resulting from said policy are neither represented nor forecasted in the record of this proceeding, and thus PULP respectfully requests that the underlying forecasts and calculations be refreshed in the record before an RD be issued.

Alternately, if Your Honors do not require this and other portions of the record to be refreshed before an RD is issued, PULP respectfully requests that the least-cost alternative affecting residential and small business ratepayers proposed by Staff or other active parties be given strong consideration as a temporary (i.e., one year) measure to limit harmful bill impacts during this public health emergency period and the Statewide and Industry-wide effects of CV-19 and State "shelter at home" policies. While the current public health crisis and its effects upon utilities are reasonably unprecedented in the 20th and 21st centuries, the economic impacts are similar to those felt only approximately one decade ago during the Great Recession of 2008-2010, at which time the Commission took action to address a severe economic downturn and mass unemployment through imposition of "austerity rate plans" upon the utilities. See, Case 08-3-0539, Con Edison Electric Rates, Austerity Plan, May 26, 2009, where the Commission imposed an austerity adjustment in the electric rate case; see also, Case 09-M-0435, Proceeding on Motion of the Commission Regarding the Development of Utility Austerity Programs- Notice Requiring the Filing of Utility Austerity Plans, issued May 15, 2009, where the Commission directed each electric and gas utility classified as a Class A utility under the Commission's

Uniform System of Accounts, to provide a report within 30 days detailing the utility's plans for achieving austerity. PULP believes that the issuance of "austerity rate plans" is an appropriate initial step that should be taken in this and other active rate proceedings. As a result, we respectfully urge the ALJs to order KEDNY/KEDLI to submit austerity plans to the Commission within 30-days of the issuance of the RD.

B. Newtown Creek Imputation

KEDNY's proposal to operate a renewable natural gas facility at the Newtown Creek Treatment Plant, located in Greenpoint, N.Y., is a flagship proposal in the Company's "Future of Heat" filing. Evidentiary Hearing Transcript ("EHT"), Volume 1, page 103, lines 4-9. In addition to questions regarding the potential operational and environmental benefits and concerns associated with operating such a facility, PULP is also concerned about other factors relating to the project, which include the potential for increase truck traffic along McGuiness Boulevard. We urge the ALJs to recommend to the Commission that it direct KEDNY to remain in regular contact (at least quarterly) with the elected officials and community members residing in the neighborhoods within the operating proximity to the facility. Regular communication is extremely important and necessary. Instituting a schedule for regular contact with the community will help the residents receive answers to their questions, such as the project's status, thereby improving communication between KEDNY and the community surrounding this Project.

With regard to the financial impact of this project, PULP generally supports Staff's imputation here, provided however that PULP believes that this and other pilot projects proposed by the Companies (see §§ (b) and (e-k) in Part IX below should receive no investment throughout the rate plan resulting from this proceeding, unless such all impacts from such investment are deferred so there will be no bill impacts until New York's economy and the Companies' ratepayers have recovered from the effects of the conjoined public health and economic crises arising from the CV-19 pandemic. PULP additionally respectfully requests that the underlying forecasts and calculations imputed to the Newtown Creek project be refreshed in the record before an RD be issued. EHT, Volume 2, page 666, lines 9-22.

C. RDM per class versus per customer

Where such as here, PULP has not provided a litigated position, or provided a separate analysis derived from evidence from one of the cross examinations, PULP generally supports the position(s) of DPS Staff, unless another intervenor party's or parties' position is specifically cited. PULP additionally reserves its right to address all initial briefs in its reply brief in these proceedings.

D. Purchased Gas

Where such as here, PULP has not provided a litigated position, or provided a separate analysis derived from evidence from one of the cross examinations, PULP generally supports the position(s) of DPS Staff, unless another intervenor party's or parties' position is specifically cited. PULP additionally reserves its right to address all initial briefs in its reply brief in these proceedings.

V. EXPENSES

A. **Operation and Maintenance**

1. **Initiatives including the "Future of Heat"**

PULP recognizes the State of New York's ("State's") leadership on drastically lowering carbon emissions, including the passage and signature into law of the 2019 Climate Leadership and Community Protection Act ("CLCPA"). PULP's review of KEDNY/KEDLI's "Future of Heat" testimony includes examining a set of proposals aimed at lowering carbon-dioxide emissions including the use of such measures as renewable natural gas ("RNG"), non-pipes alternatives, demand reduction, and increased energy efficiency. EHT, Volume 1, page 329,

lines 11-20. These proposals are additionally, as noted above, significant drivers of the currently proposed and future revenue requirements.

While the Companies' "Future of Heat" proposals appear consistent with the State's goals to lower carbon emissions, PULP questions whether implementing such proposals sooner would have helped prevent the moratorium on natural gas that the Companies issued in March 2019 and that lasted until an order and settlement in November 2019, and averted at least some of the expenses the Companies are putting in their proposed revenue requirement, affecting ratepayers, in this proceeding. During the Evidentiary Hearing, PULP explored this theory. EHT, Volume 6, pages 2885-2892.

Specifically, the Companies have been aware for quite some time of the State's move towards decarbonization. EHT, Volume 1, page 329, lines 5-10. In fact, KEDNY/KEDLI held its own "80 by 50" Conference in Albany on February 26, 2019, where they publicly discussed their Pathway Plan, which was aimed at demonstrating the Companies' preparation for and compliance with New York's and New England's "80x50" policies. At the Hearing the Companies confirmed that such measures would have included more non-pipe alternatives and demand reduction programs and would presumably reduce the actual usage of natural gas in its service territories in New York City and in Long Island. EHT, Volume 1, page 329, lines 16-20. No such proposals were discussed publicly by the Companies during the moratorium outside of the filing of this rate case, and until the Settlement was reached in Case 19-G-0678.

Moreover, the self-imposed moratorium KEDNY/KEDLI implemented between March 2019 and November 2019 has had unknown financial affects, both past and present, that have not been directly addressed and accounted for during this proceeding. Currently, KEDNY/KEDLI are holding virtual meetings to discuss their long-term natural gas supply options and self-announced costs as required by the Order and Settlement in proceeding 19-G-0678. In neither this rate case nor that proceeding is there an adequate public cost analysis provided to indicate how much KEDNY/KEDLI's moratoria has affected its customers, nor how much moving forward under the Settlement/Order will cost, and whether ratepayers or shareholders will bear the burden of such costs, and which classes if ratepayers are asserted to necessarily bear these costs in whole or part. The unknown costs created by the moratorium, and forward-looking investments targeted at averting another moratorium on or shortly after September 2021 must be

accounted for in this proceeding and the resulting rate plan(s) by the Commission and DPS Staff. PULP respectfully requests therefore that the ALJs recommend to the Commission that all expenditures arising from the moratorium and the remedial measures ordered in Case 19-G-0678 be held in deferral until the cessation of expenditures by the Companies to litigate and/or settle civil lawsuits brought against the Companies by residential and business customers harmed by the moratorium, or subjected thereto.

2. <u>Customer Information System ("CIS") Project: Enhancements - adding 6 years billing history</u>

PULP understands why the Companies have proposed upgrading their CIS systems. However, PULP concurs with DPS staff's concerns regarding the Companies' history of missed implementation dates and budget overruns for implementing IT projects. EHT, Volume 3, page 1460, lines 10-24.

In this rate case, DPS staff are "extremely concerns that the CIS replacement project will be delayed and such a delay will negatively impact customers, through either rate impacts or through the incorporation of erroneous customer usage data and billing data" *Id*. at page 1460, lines 14-19. PULP additionally concurs with those concerns and agrees with DPS Staff that the request for capital expenses sufficient for replacing the Companies' Legacy system warrants a separate petition to be filed with the Commission so that a full proceeding can commence for the purpose of protecting customers. EHT, Volume 4, page 1571, lines 11-24. PULP also argues that this project, among several other proposed by the Company that might be warranted and potentially reasonable where there are no conjoined public health and economic crises, should not be allowed in this rate proceeding.

However, if any changes to the CIS system are approved by the Commission in this rate case, PULP requests that such changes focus upon remedying long-standing customer service operations problems, including those addressed by the proposals PULP has advocated for in William Yates' testimony, including the creation of a customer portal (to be discussed in greater detail below in section XI, Customer Service, E. Customer Service Enhancements).

PULP believes that at least some of the proposals we have presented in an effort to improve customer service operations while creating efficiencies for the Companies, such as creating a customer service portal with access to 6-years of billing data, could potentially increase information technology ("IT") costs. However, the Companies have not conducted any studies or reviews to determine for a fact that PULP's recommendations, such as a customer portal, would increase IT costs, as opposed to potentially lowering O&M expenses through creating greater customer service efficiencies. EHT, Volume 3, page 1249, lines 12-15.

Indeed, PULP asserts its proposals will make it easier for the customer to access billing and account statuses, thereby providing efficiencies for the Companies. As such, a financially reasonable CIS upgrade that focuses upon providing reasonable benefits to the Companies' customers could potentially be supported by PULP after the lifting of the public health emergency and recovery from the concomitant recession.

3. <u>Site Investigation and Remediation</u>

It is indisputable that the cleanup of both the Gowanus Canal and Newtown Creek superfund sites will be extremely expensive. Similarly, it is indisputable that the cleanups are necessary and should occur in an expeditious manner. However, PULP argues that the issues of "who" should be paying the site investigation and remediation ("SIR") costs and "how much" they should be paying are not appropriately addressed in this proceeding.

During the Evidentiary Hearing, DPS staff acknowledged that they were familiar with the Commission's Order in 11-M-0034 ("Generic SIR Order"), issued on November 28, 2012, indicating that "sharing may be appropriate in specific cases, either to serve as an incentive where utilities have failed to adequately constrain SIR costs, or as part of multiyear rate plans incorporating excess earnings mechanisms." EHT, Volume 7, page 3750, lines 13-19; 11-M-0034 page 12. The Generic SIR Order 11-M-0034 is very clear that the Commission chose not to adopt a specific policy for handling SIR costs for the purpose of providing DPS staff with leniency and room to recommend alternatives. Generic SIR Order at 2. PULP believes that the factors discussed below give rise for the Commission to find that an alternative SIR approach to

allocation of cleanup costs is warranted in this rate case, and that shareholders should be assessed a fair share of the cleanup.

In the previous rate case, KEDNY proposed a 2% surcharge to collect, over time, the amount of funds it asserts it will need to cover investigation, remediation, and legal costs associated with the SIRs. EHT, Volume 7, page 3460, lines 6-16. In PULP's Initial Testimony we used the Companies' annual reports to show that KEDNY's estimated environmental liabilities associated with clean-up costs have been skyrocketing since 2009. Specifically, the Company's necessary environmental estimated reserves almost quadrupled between 2009 and 2018 from $371 million to $1.212 billion. At the same time, the amount the Company plans to recover from rate payers increased from $539 million to $1.485 billion. EHT, Volume 4, page 1626, lines 15-19; page 1627, lines 1-18. Moreover, KEDNY's past SIR spend on an annual basis for 2016 and 2017 alone shows $6,971,628 (2016) and $19,747,168 (2017) for the Gowanus Canal and $8,235,029 (2016) and $8,959,038 (2017) for the Newtown Creek Superfund site. *See*, Exhibit 179, page 1 of 1.

Those figures alone should raise the Commission's concern. The Generic SIR Order specifically recognizes that "sharing as an incentive in specific cases may be a useful tool to ensure utility attention to cost controls." *See*, 11-M-0034, page 21. In a case such as this one where the potential cleanup cost has practically quadrupled in less than a decade, it reasonably qualifies as a "specific case" consistent with 11-M-0034, providing sufficient reason for Your Honors to order KEDNY shareholders to share some portion of the SIR costs. Despite the facts at hand clearly suggesting that DPS should recommend, and the Commission should order, cost sharing, neither KEDNY nor DPS staff has proposed any amount of cost sharing by the Companies in this or the 2016 rate cases filed by the Companies. EHT, Volume 7, page 3705, lines 2-9; page 3751, lines 5-9.

In cross examination in this proceeding, KEDNY testified that it has made efforts to lower overall SIR costs in both the short and long term. For instance, KEDNY asserted it has been working to identify additional potentially responsible parties ("PRPs") to lower its investigation and remediation costs included in the proposed rate plan filed in this rate case. EHT, Volume 7, page 3702, lines 1-8. KEDNY/KEDLI witness Charles Willard testified, for example, that KEDNY did expect potentially responsible parties for both Newtown Creek and

the Gowanus Canal to help pay for the investigation or remediation costs in this rate case year. EHT, Volume 7, page 3701, lines 18-22; page 3702, lines 1-8. While contriving to make sure PRPs bear their fair share of costs is the bare minimum of a polluter's duties under the Superfund law, in the long term, it clarifies that KEDNY has done at least some of the work necessary not to be in the position of being the only party involved in either cleanup.

While many factors remain unknown, the simple truth is that there are at least twenty-five PRPs identified for the Gowanus Canal and at least four remaining PRPs identified for Newtown Creek (excluding KEDNY itself from those numbers).EHT, Volume 7, page 3701, lines 18-22; page 3702, lines 1-8. This provides KEDNY with an opportunity to share and/or seek joint and several liability from the other PRPs, thereby lowering their overall SIR costs. If KEDNY were not allocating 100% of its SIR costs to its ratepayers, it is reasonable that the Company would be incentivized not only to exercise greater cost controls, but also to push harder to lay off more of the cleanup of these massively polluted sites onto other PRPs. Such a result is not only good policy, it is also far more equitable since it is clear that the Company and its predecessors benefited from the prior industry creating the superfund sites, and it is clear that National Grid purchased KEDNY with full knowledge of the superfund sites, despite there being little likelihood that such properties would be used and useful for, or benefit, current shareholders. Consequently, as PULP argued in the 2016 case and reiterates here, KEDNY shareholders should share its SIRs costs, rather than rely solely rely on a 2% charge that could span generations of customers' monthly bills to cover the costs.

When PULP filed its initial testimony on August 31, 2019, there was an assumption that this case would result in a multi-year settlement, which is the typical environment in which a company might be ordered to share in the cost of SIRs out of its share of earnings above the prescribed ROE. At that time, William Yates proposed that the Companies allocate 100% of KEDNY's share of earnings-sharing to reduce deferred SIR costs. EHT, Volume 4, page 1629, lines 6-9. Due to the fact that this case was fully litigated and will result in a one-year rate plan, PULP supports DPS Staff's proposal that an earnings sharing mechanism containing an allocation of SIR costs to KEDNY be imposed if the Companies decided to stay out without filing a new rate case after one year. Such a result, PULP asserts, will be consistent with the

policy reasons behind the Commission's Generic SIR Order in case 11-M-0034, and respectfully requests that the ALJ's direct KEDNY to share a portion of the SIR related costs.

B. **Amortization of Regulatory Deferrals**

Where such as here, PULP has not provided a litigated position, or provided a separate analysis derived from evidence from one of the cross examinations, PULP generally supports the position(s) of DPS Staff, unless another intervenor party's or parties' position is specifically cited. PULP additionally reserves its right to address all initial briefs in its reply brief in these proceedings.

C. Depreciation

Where such as here, PULP has not provided a litigated position, or provided a separate analysis derived from evidence from one of the cross examinations, PULP generally supports the position(s) of DPS Staff, unless another intervenor party's or parties' position is specifically cited. PULP additionally reserves its right to address all initial briefs in its reply brief in these proceedings.

D. **Property Taxes**

Where such as here, PULP has not provided a litigated position, or provided a separate analysis derived from evidence from one of the cross examinations, PULP generally supports the position(s) of DPS Staff, unless another intervenor party's or parties' position is specifically cited. PULP additionally reserves its right to address all initial briefs in its reply brief in these proceedings. PULP notes however that property taxes levied on the Companies have increased sufficiently that they are major rate drivers, particularly so in New York City where little attempt has apparently been made to hold down the increases of KEDNY's tax burden

E. Amortization of Excess Accumulated Deferred Federal Income Taxes: Timing of Amortization/Return to Ratepayers of Annual Excess Deferred ("EDFIT") for Unprotected Plant and Non-Plant Balances.

PULP advocated in William Yates' direct testimony for the Companies to accelerate the return to customers of excess unprotected EDFIT such that all net benefits are returned during the three-year rate plans proposed in these proceedings. EHT, Volume 4, page 1651, lines 18-28. Such an outcome would have been consistent with the PSC Order in case 17-M-0815, and the announced policy of Governor Cuomo giving rise to such case. Returning the ratepayers' funds over the period of the rate plan would also have properly balanced the equity of returning ratepayer funds to the ratepayers whose funds were used to pay the prospective future taxes lowered unexpectedly by the federal Tax Cut and Jobs Act of 2017, versus allowing the Companies to retain such funds until current ratepayers were replaced by future generations.

Now, however, there have been three crucial factual changes in these proceedings. First, the CV-19 health pandemic has resulted in massive unemployment and a rapidly increasing economic slowdown equal to or greater than the Great Recession of 2008-10. Second, in addition to a massive increase in the inability of traditionally low-income/fixed-income ratepayers to pay their bills, it is clear that many millions of residential and small and moderate-sized business customers that have rarely or never missed a bill payment will descend into low-income status rapidly and with little chance of individual financial recovery for several years, as was true in the Great Recession. Third, with the request by the Commission that all jurisdictional utilities accede to granting a moratorium on shutoffs, interest charges/late fees and other collections activities during at least the public health emergency, it is similarly clear that customer arrears will balloon in direct proportion to ratepayer inability to afford the Companies' rates.

PULP argues therefore that to addresses these three prongs of a new affordability crisis for ratepayers and a liquidity crisis for the utilities, that unprotected EDFIT monies from unprotected plant and non-plant balances should be used in the following manner. First, one-half of the monies should be allocated to the low-income residential customers' Affordability Program so that the arrears levels of vulnerable households do not increase beyond any likelihood of their being able to be paid, and so that such customers will receive greater

SafetyNet protection within the program without exceeding the 2% utility revenue threshold. The other half of the unprotected EDFIT monies should also be divided in half with 50% being used as added rate moderation in the one-year rate plan resulting from this case, and the other 50% should be used at the end of the public health emergency and moratoria to pay down the arrears/uncollectibles. Such an outcome not only protects the Companies' most vulnerable current customers and customer newly entering low-income status, and protects the Companies at least in part from the effects of ballooning arrears and uncollectibles, but is also consistent with a rational and equitable use of the funds while returning net ratepayer funds as rapidly as is practicable.

F. **Amortization of Expenses**

Where such as here, PULP has not provided a litigated position, or provided a separate analysis derived from evidence from one of the cross examinations, PULP generally supports the position(s) of DPS Staff, unless another intervenor party's or parties' position is specifically cited. PULP additionally reserves its right to address all initial briefs in its reply brief in these proceedings.

G. CSC O&M Tracker

Where such as here, PULP has not provided a litigated position, or provided a separate analysis derived from evidence from one of the cross examinations, PULP generally supports the position(s) of DPS Staff, unless another intervenor party's or parties' position is specifically cited. PULP additionally reserves its right to address all initial briefs in its reply brief in these proceedings.

VI. RATE BASE ISSUES

A. Capital Projects and Expenditures

Where such as here, PULP has not provided a litigated position, or provided a separate analysis derived from evidence from one of the cross examinations, PULP generally supports the position(s) of DPS Staff, unless another intervenor party's or parties' position is specifically cited. PULP additionally reserves its right to address all initial briefs in its reply brief in these proceedings.

B. Net Plant True-up

Where such as here, PULP has not provided a litigated position, or provided a separate analysis derived from evidence from one of the cross examinations, PULP generally supports the position(s) of DPS Staff, unless another intervenor party's or parties' position is specifically cited. PULP additionally reserves its right to address all initial briefs in its reply brief in these proceedings.

C. CapEx Reporting Requirements

Where such as here, PULP has not provided a litigated position, or provided a separate analysis derived from evidence from one of the cross examinations, PULP generally supports the position(s) of DPS Staff, unless another intervenor party's or parties' position is specifically cited. PULP additionally reserves its right to address all initial briefs in its reply brief in these proceedings.

D. Earnings Base Capitalization / Working Capital - City/State Construction Accounts Receivable Balance

Where such as here, PULP has not provided a litigated position, or provided a separate analysis derived from evidence from one of the cross examinations, PULP generally supports the position(s) of DPS Staff, unless another intervenor party's or parties' position is specifically cited. PULP additionally reserves its right to address all initial briefs in its reply brief in these proceedings.

VII. FINANCIAL ISSUES

Concerning sub-sections A through D of Section VII of the template outline, PULP notes that where PULP has not provided a litigated position, or provided a separate analysis derived from evidence from one of the cross examinations, PULP generally supports the position(s) of DPS Staff, unless another intervenor party's or parties' position is specifically cited. PULP notes however that as it argued in its motion filed in these proceedings on March 30, 2020, it is unlikely in the extreme that any of the Return on Equity, Capital Structure, long term debt and credit metrics calculations and/or forecasts in the record are accurate, and therefore should be refreshed by the Company and Staff before an RD is issued in these cases.

PULP additionally reserves its right to address all initial briefs in its reply brief in these proceedings.

A. Earnings Sharing Mechanism

PULP has significant concerns about KEDNY/KEDLI's proposed "Affordability Metric." EHT, Volume 4, page 1647, lines 27-28; page 1648, lines 1-28. Specifically, the Companies' proposal is an outcome-oriented energy efficiency metric that measures the annual percentage reduction in Energy Assistance Program ("EAP") customer bills. EHT, Volume 1, page 131, lines 9-14. However, the "outcome" the Companies propose would not necessarily be reflective of efforts KEDNY and KEDLI should be taking to reduce individual EAP customer bills since the proposed outcome would be a simple year-over-year reduction in the weather-normalized average monthly customer bills for EAP customers. If this proposal is adopted without significant corrections of the Companies' proposals, PULP is concerned that the Companies could simply focus on terminating high usage customers. Moreover, the "Affordability Metric" could be substantially affected – i.e., "gamed" -- by various mixes of enrollments and dis-enrollments that could impact average EAP customer monthly bills and trigger a potential award of added revenue. Such an outcome would neither accurately reflect

improved affordability for continuing EAP customers, nor would it effectuate the goal of creating stretch goals to motivate improved policies by the Companies.

During the Evidentiary Hearing, AARP asked the Companies whether they considered how or what the impact of terminating high usage low income customers due to nonpayment would be, and how that would be in relation to achieving the proposed metric's targets. EHT, Volume 1, page 447, lines 5-22. The Companies responded that they had not modeled such a scenario when developing the affordability metric. *Id*. at page 447, lines 19-24. Due to the concerns addressed here, which could leave high usage low-income customers targets for terminations as a result of the proposed affordability metric, PULP supports AARP and requests that the ALJs reject this metric in its entirety.

VIII. REVENUE ALLOCATION AND RATE DESIGN ISSUES

A. ECOS Study

PULP generally supports the position(s) of the Department of State Utility Intervention Unit ("UIU") concerning the need for and design of added ECOS studies. EHT, Volume 4, pages 1348-1352, 1372-1374. PULP additionally reserves its right to address all initial briefs in its reply brief in these proceedings.

B. Revenue Allocation

PULP reserves the right to address this issue in its reply brief.

C. Rate Design

In the direct testimony of William Yates, PULP proposed exploring alternative rate designs that would lower basic service charges for residential customers and, more generally, reward conservation and energy efficiency through lower delivery bills. EHT, Volume 4, page 1643 lines 7-16. Such a system would assist the Company's efforts to lower natural gas use.

Implementing alternative rate design measures earlier than this rate case may have even helped prevent, or assisted in the prevention of, the moratorium on natural gas service that the Companies self-imposed from March 2019 through November 2019. PULP notes additionally that such alternative "green" rate designs would require greater homogeneity of residential rate classes, identification of customers using many multiples of the average usage, and adjustments to the customer charges imposed so that low-income and low-usage customers would be incentivized to further conserve usage, and not harmed by an incomplete redesign of rates.

D. Bill Impacts

PULP remains concerned that there are multiple factors associated with the Companies operations that would increase bill impacts, an issue that neither the Companies nor DPS staff appear to have fully considered during this proceeding. Such factors include: SIR costs, financial expenses relating to the self-imposed moratorium on natural gas, the Companies' ability to fully achieve the proposed EAMs, and more. EHT, Volume 4, pages 1621-1633. Each of these factors should be taken into consideration when it comes to developing projections on how raising the Companies' rates will affect its customers. As a result, PULP urges the ALJs to recommend to the Commission that such additional factors, as described in other sections of this brief in greater detail, be provided proper consideration. Moreover, we respectfully request that the bill impacts in total, on the Average Usage Customers, be limited to no more than two percent (2.0%) during the one-year rate plan resulting from this proceeding.

E. Non-Firm Service Classes

Where such as here, PULP has not provided a litigated position, or provided a separate analysis derived from evidence from one of the cross examinations, PULP generally supports the position(s) of DPS Staff, unless another intervenor party's or parties' position is specifically cited.

PULP additionally reserves its right to address all initial briefs in its reply brief in these proceedings.

F. Paperless Billing Credit

PULP generally supports this program and the Companies' other attempts to promote responsible environmental stewardship, provided however that each measure must be subjected to scrutiny concerning whether it might have disparate impact or disadvantage vulnerable customer. In this instance, PULP is concerned that the Companies were unable to testify to what percentage of customers do not have access to the Internet and would be unable to participate in this innovation. EHT, Volume 3, page 1246, lines 10-25, page 1247 lines 1-3. PULP suggests therefore that unless or until the Companies study the lack of penetration of Internet in their service territories and either devise a manner for customers without broadband to benefit from this credit, this program should not extend beyond this one year rate plan.

G. Make Whole / Rate Compression

PULP supports DPS Staff's positions generally with regard to the issues of "make whole" clauses and the potential for "rate compression," provided however that PULP argues that due to the unprecedented employment and economic downturns arising from the CV-19 pandemic and "New York on Pause" policy implemented by Governor Cuomo, the RD in this case should avoid granting rates that implement rate compression, rather than deferring such increases until after the public health and economic crises are fully completed.

PULP additionally reserves its right to address all initial briefs in its reply brief in these proceedings.

H. Lost and Unaccounted for Gas

PULP reserves the right to address this issue in its reply brief.

IX. GAS POLICY AND ENERGY EFFICIENCY

A. Energy Efficiency

PULP reserves the right to address this issue in its reply brief.

B. Green Gas Tariff

PULP reserves the right to address this issue in its reply brief.

C. Utility Energy Services Contracts Program

PULP reserves the right to address this issue in its reply brief.

D. Fuel Switching Calculator and Allocation to Affiliates

PULP generally supports the position(s) of DPS Staff on the issues presented in sub-sections A through D of Section IX of the template outline.

PULP additionally reserves its right to address all initial briefs in its reply brief in these proceedings.

E. Demand Response

PULP reserves the right to address this issue in its reply brief.

F. Demonstration Projects

PULP reserves the right to address this issue in its reply brief.

G. Geothermal

PULP reserves the right to address this issue in its reply brief.

H. **Newtown Creek Project (KEDNY)**

PULP reserves the right to address this issue in its reply brief.

I. Power to Gas Demonstration Project (KEDLI)

PULP reserves the right to address this issue in its reply brief.

J. Hydrogen Blending Study

PULP reserves the right to address this issue in its reply brief.

K. Renewable Natural Gas Interconnection Program

PULP reserves the right to address this issue in its reply brief.

L. Greenhouse Gas Inventory Methodology

PULP reserves the right to address this issue in its reply brief.

M. **Earnings Adjustment Mechanisms**

At the Evidentiary Hearing, the Companies testified that the value of 10 basis points for each Company is as follows; for KEDNY: In 2020, the value was 3.301 million; In 2021, it was

$3.847 million; in 2022, it was $4.338 million; and in 2023, it was $4.769 million. For KEDLI, over the same four rate years, the values are $2.132 million, $2.497 million, $2.788 million, and $3.054 million, respectively. EHT, Volume 1, page 336, lines 15-22. PULP's questioning during the hearing centered around the fact that the Earnings Adjustment Mechanisms ("EAMs"), if achieved, would add several million dollars to the Companies' revenue, which the Companies testified to as well as the fact that the rate payers would be the ones paying this amount and that will affect delivery rates. EHT, Volume 1, page 339, lines 2-11; page 340, lines 2-5.

PULP remains concerned that the EAMs are easily achievable and as a result, this amount will be passed along to the ratepayers to cover. Moreover, it is an amount that the Companies have not adequately considered when conducting their bill impact analysis. As a result, PULP encourages the ALJ's to recommend to the Commission that this amount be considered in conjunction with the overall rate increase ask by the Companies, especially since the KEDNY/KEDLI testified that the rate payers will be the entity to pay this amount. PULP additionally notes here that since this will be a one-year rate plan, it suggests such EAMs should not be granted to the Company, and offers its suggestions for the contours of such grants above as an alternative remedy if the Commission grants the request for EAMs.

N. Platform Service Revenues

Where such as here, PULP has not provided a litigated position, or provided a separate analysis derived from evidence from one of the cross examinations, PULP generally supports the position(s) of DPS Staff, unless another intervenor party's or parties' position is specifically cited. PULP notes however that as it argued in its motion filed in these proceedings on March 30, 2020, it is unlikely in the extreme that any of the long term debt calculations in the record are accurate, and therefore should be refreshed by the Company and Staff before an RD is issued in these cases.

PULP additionally reserves its right to address all initial briefs in its reply brief in these proceedings.

O. Empower Replacement Program Incentive Mechanism (KEDLI)

PULP reserves the right to address this issue in its reply brief.

P. Number of Electric Vehicles in Companies' Fleets

Where such as here, PULP has not provided a litigated position, or provided a separate analysis derived from evidence from one of the cross examinations, PULP generally supports the position(s) of DPS Staff, unless another intervenor party's or parties' position is specifically cited.

PULP additionally reserves its right to address all initial briefs in its reply brief in these proceedings.

Q. **Consistency of Rate Design and Revenue Allocation with Climate Leadership and Community Protection Act**

PULP supports exploring how alternative rate design can lead to increased environmental benefits, while balancing such benefits against any potential increased costs to vulnerable households such as the disable, fixed-income, low-income and senior households. PULP notes that implementation of rates incentivizing conservation and lowering usage address the State of New York's greenhouse gas reduction goals and "decarbonization" goals towards the energy sector. (*See above,* Section VIII. Revenue Allocation and Rate Design, C. Rate Design).

The Climate Leadership and Community Protection Act ("CLCPA") is the clearest and most aspirational statement to date of State policy concerning decarbonization, energy efficiency and greenhouse gas emission reduction. It is anticipated that when the Climate Council created in the CLCPA provides its anticipated guidance on realizing the goals of the CLCPA, that rate designs and revenue allocations will be brought into compliance and consistency with the CLCPA. At this point however, there is little guidance on what such compliance and consistency objectively means, and PULP notes therefore that it could mean rapid amortization

of infrastructure spending as proposed by Corning Gas in Case 20-G-0101, or increased reliance on demand reduction, energy efficiency and non-pipe alternatives such as proposed in case 19-G-0678, both of which have as yet unknown but presumably significant impact upon rates.

R. Proposed Changes to Supply Planning Process

Where such as here, PULP has not provided a litigated position, or provided a separate analysis derived from evidence from one of the cross examinations, PULP generally supports the position(s) of DPS Staff, unless another intervenor party's or parties' position is specifically cited.

PULP additionally reserves its right to address all initial briefs in its reply brief in these proceedings.

X. GAS SAFETY

A. Performance Metrics to section F. Service Line Inspections

PULP supports DPS Staff's positions on the issues concerning gas safety in sub-sections A-F of this section, Section X of the template outline.

PULP additionally reserves its right to address all initial briefs in its reply brief in these proceedings.

XI. CUSTOMER SERVICE

A. Customer Service Performance Metrics; Performance measures in a one-year case

PULP reserves the right to address this issue in its reply brief.

B. Terminations/Uncollectible Incentive Mechanism

PULP's initial testimony advocated for the modification of the terminations/uncollectible incentive mechanism to include an arrears component, updated positive revenue adjustments ("PRAs") targets and added negative revenue adjustments ("NRAs"). EHT, Volume 4, page 1642, lines 6-26. The rationale behind these recommendations was that the analysis Mr. Yates conducted showed that both KEDNY and KEDLI have achieved a positive revenue adjustment for exceeding its target in each of the years for its current rate plan and during this time, also saw the number of termination drop well below the targets. Additionally, as the proposed rate plan was intended to derive from a multi-year settlement, PULP believed that an incentive mechanism that might drive the Company to act in a manner calculated to maximize revenue without regard to the policy rationales underlying such PRAs.

Specifically, for KEDNY in the twelve months from July 2018 through June 2019, KEDNY performed 28,561 residential service terminations, representing 2.4% of average residential customers for the period, exceeding the statewide average of 2.3%. Exhibit 569, at 4. The Company has achieved a positive revenue adjustment for exceeding its target in each of the three years of the rate plan resulting from the 2016 rate case, during which time the number of terminations dropped well below the target of 34,638.

KEDLI on the other hand performed 11,043 residential service terminations in the twelve months ending June 2019, representing 2.0% of average residential customers for the period. Exhibit 569 at 6. KEDLI's terminations also decreased well below its multi-year target of 12,470 set in the 2016 rate case's multi-year rate plan.

Consequently, PULP proposed factors to assist with creating adequate "stretch goals" for the Companies which included adding an arrears component and using two standard deviations. The Companies objected to both recommendations. EHT, Volume 3, page 1186, lines 15-21; page 1187, lines 1-16.

During the Evidentiary Hearing, PULP asked DPS staff if they were aware of any other cases where DPS staff included targets for a revenue adjustment that were two standard deviations from the average historical data used as the basis for setting such targets. EHT, Volume 4, page, 1522 at lines 9-22. Upon refreshing DPS Staff's memory by showing them DPS Staff's initial testimony in Niagara Mohawk cases 17-E-0238 and 17-G-0239, DPS staff was made aware of DPS staff's proposal in that case to use two standard deviations. *See*, Cases 17-E-0238 and 17-G-0239, page 27 and review lines 17 through 24. While traditionally,

proposals adopted by a different Company in their specific rate case do not necessarily constitute binding precedent, Niagara Mohawk is a subsidiary Company of National Grid, as are KEDNY and KEDLI. Therefore, adopting a practice of using two standard deviations here for KEDNY/KEDLI is reasonable, derived among other reasons that the top managers of all three entities are identical, and to a large extent, company policy is uniform across the operating divisions. It is practical therefore to treat these Companies similarly with regard to incentive mechanisms and terminations/uncollectibles metrics.

During the Evidentiary Hearing, KEDNY/KEDLI also acknowledged that as of February 12, 2020, one year, one month and 12 days had elapsed since the last year used in the calculation of the metric. EHT, Volume 3, page 1267, lines 10-11 & 25. As a result, PULP urges the ALJ's to recommend to the Commission that if PRAs and NRAs are to be allowed, the targets should be updated as of the month before any recommended decision in these proceedings is adopted using the methodology provided in Exhibit 569 at 4-7. Using the most recent data will assure that the most accurate and up-to-date metrics are being used.

C. Credit/Debit Card Payments and Fees

PULP supports the "socialization" of credit/debit card payments such that customers paying their bills via a credit or debit, or EBT card are not charged fees.

D. Collections

1. Deferred Payment Agreements: Implementation of electronic DPAs and reporting requirement; KEDNY requirement for customer physical appearance at customer service center to demonstrate need for more affordable DPA terms;

During the Evidentiary Hearing, the Companies clearly recognized the important role deferred payment agreements ("DPAs") play for their customers "who are unable to make their monthly payments." EHT, Volume 3, page 1237, lines 10-11. Specifically, the Companies

acknowledged that a key customer benefit from a DPA is that "it precludes them from collection activity up to and including termination of service." *Id*. at page 1237, lines 12-14.

At the Evidentiary Hearing, KEDNY/KEDLI acknowledged that their general business practice is to first offer its customers "standard" deferred payment agreement when a termination notice is generated and that customer had not been previously on a DPA (with terms of a down payment of 15% of the balance that's owed -- followed by an installment plan up to ten months plus current monthly charges). EHT, page 1238, lines 3-6; page 1239, lines 2-8. An "affordable" DPA option is discussed after a customer indicates that they cannot afford the standard DPA option. *Id*. at page 1239, lines 9-24. However, this affordable option is contingent on that customer being able to complete a financial statement form. EHT, Volume 3, page 1239, lines 19-25; page 1240, lines 1-6.

While the Company verified that the financial statement form itself is the same and the questions asked regarding the form are the same, KEDNY customers still are required to complete this form in person, Where such as here, KEDLI customers have the option to complete the same form over the phone. EHT, Volume 3, page 1240, lines 7-14; page 1242, lines 6-9. As PULP raised in William Yates' Initial Testimony, this restriction for KEDNY customers is an undue burden on their ability to obtain an affordable DPA. EHT, Volume 4, page 1669, lines 1-4. KEDNY only has two office locations with its hours of operation limited to Mondays through Fridays from 8:15 to 5:00 p.m. EHT, Volume 3, page 1241, lines 17-24. The general need for KEDNY customers to travel to one of two office locations in Brooklyn, one in Queens or one in Staten Islands, weekdays only between the limited hours of 8:15 am to 5:00 pm is extremely troublesome and restrictive for customers needing an affordable DPA. This is especially true for seniors, the disabled, customers with young children, and customers who work during the week.

When asked why this limitation existed, the Companies' panel indicated that it was due to "system limitations" and the KEDNY system's inability to "store the signed agreement in the customer system" as KEDLI can. EHT, Volume 3, page 1240, lines 19-20; page 1242, lines 14-15. Yet no further information or specifics were provided as to why KEDLI's system did not require customers to physically appear when completing a financial statement form.

During the Evidentiary Hearing, the Companies' indicated that this KEDNY-only requirement would be changed with the implementation of electronic deferred payment

agreements ("E-DPA") and that the E-DPA process would also help facilitate a "seamless" process involving the mailing of such forms in process. EHT, Volume 3, page 1245, lines 14-25, page 1246, lines 1-9. There is no explanation as to why the mail in option could not currently be performed under the current system.

PULP is concerned that the KEDNY-only requirement will persist if the Companies are not granted in this rate case, the new Computer Information System they are proposing and of which, DPS staff has had concerns about. Moreover, if there are any issues or delays to the implementation of the E-DPA process, the KEDNY-only requirement could continue. In summation, the KEDNY-only requirement that a customer physically appear when completing a financial statement form must be corrected in this rate case. This impediment is unnecessary and unduly burdensome especially for vulnerable populations and should be directed to cease immediately. At the same time, PULP sees no evidence in the record that correction of this failing of the KEDNY's computer systems would require the entire proposed investment put forward by the Companies, and therefore underscores that its advocacy here to remove an unfair burden upon the most vulnerable of KEDNY's customers does not equate to approval of spending far beyond the minimum necessary to correct this injustice.

E. Customer Service Enhancements

1. <u>Creating a customer portal and the requirement to provide customers with six-year billing history.</u>

PULP asserts that the creation of a customer portal could be tremendously beneficial to its residential customers. At the Evidentiary Hearing, the Companies acknowledged that they had not conducted any financial studies or reviews that would conclude that the customer portal PULP recommended in relation to customers accessing and tracking financial matters involving their accounts as well as billing, would increase IT costs or be "cost prohibitive." EHT, Volume 3, page 1249, lines 12-15; page 1250, lines 3-6. Moreover, the Company actually acknowledged that such a proposal "...could be considered as a capability that we would build into requirements to the new CIS -- this new CIS system, the customer information system." *Id*. at page 1250, lines 12-15.

At one point the Companies testified that they felt that PULP's proposal, creating a customer portal, did not provide "a benefit to the customer beyond what is already available..." *Id*. at page 1250, lines 16-17. At the same time, the Panel testified that its customer information is contained in multiple locations

> "contained in both of our mainframe systems, the CIS systems which are CSS and KRISS. And then there's also servers that we use to maintain customer information … the data is … maintained in excess of six years." *Id*. at 1253, lines 3-7.

Yet, the Panel was also unable to provide a consistent answer as to how long it takes a customer service representative to pull and send its' customers a complete copy of their account history. One panelist said, "as quickly as possible." EHT Volume 3, page 1253, line 17. Another panelist said that "it should never take more than 30 days to resolve it." EHT, Volume 3, page 1254, lines 14-15. A third panelist acknowledged that it can "vary depending on who is doing the research and the complexity. But I've seen turnaround times in 24 hours." EHT, Volume 3, page 1254, lines 20-23.

Due to this broad timeframe and lack of consistent timing in regard to responding, PULP's position remains supportive of creating a customer portal where every residential customer's 6-years of historical billing records can be viewed at any time. Such a system would also benefit the Companies' customer service representatives who traditionally have to spend the varying amount of time, ranging anywhere from 24 hours to 30-days to pull and send to the customer. PULP notes that here too it sees no evidence in the record that correction of this failing of the KEDNY's computer systems would require the entire proposed investment put forward by the Companies, and therefore underscores that its advocacy here to remove an unfair burden upon many of KEDNY and KEDLI's customers does not equate to approval of spending far beyond the minimum necessary to correct this injustice.

2. <u>Improving customer communications for customers who may experience a balance transfer</u>

Another area where having a customer service portal available will benefit KEDNY/KEDLI customers is in cases where a balance is being transferred. Such a case could occur for a myriad of reasons, the most common being a situation where a new customer has a

"balance" which appeared as part of an old account that has been subsequently closed. Now, the same customer is looking to open a "new" account, perhaps due to moving. Through a name search, KEDNY/KEDLI can transfer the prior account's arrears to the new account (as long as it falls within the 6-year statute of limitations period under New York State credit practices). EHT, Volume 4, page 1683, lines 4-21; EHT, Volume 3, page 1252, lines 2-17; and Exhibit 627.

Balance transfers often result in an unexpected large sum of money being added to the customer's arrears, and often with little or no identification of the provenance of such large sums. There should be sufficient notice and messaging to customers from the Companies relating to their intention to make balance transfers to the customer's account prior to making any such transfers. Having such information clearly discussed and included in the Customer's online portal would help educate the customer of what is happening, while providing them with the information they need if they want to challenge the debt with the Department of Public Service's Office of Consumer Services (OCS) staff' complaint process.

- Moreover, an automatic thirty-day extensions to be granted to residential customers who have balances transferred to their accounts. Extensions to be commenced as of the date any bill including such a transfer is mailed. During extension periods, affected customers to be given the opportunity to engage with specially designated Company personnel to dispute transfers that customers contend are erroneous and to seek resolution of such disputes. During the extension period, these customers to also be provided the opportunity to complete an FSF and to negotiate a DPA with the Company that meets the statutory requirements set forth under HEFPA; and all collections actions against related to disputed amounts to be suspended. EHT, Volume 4, page 1683, (lines 5-25.

3. <u>Improving customer communications for Elderly Blind and Disabled customers</u>

In PULP's initial testimony, the following proposals were offered for the purpose of providing more detailed customer billing information in a shorter period of time. These proposals include:

- Companies to develop secure web-based portals (if applicable, the e-Billing portal) to track the progress of applications for customers who want their accounts coded for EBD and/or medical emergency status. The portal should also be designed to manage the ongoing status of certification and re-certification. Automatic thirty-day extensions for customers seeking either EBD and/or medical emergency coding to be granted to allow for necessary documentation to be provided to the Companies. During the extension

period, these customers to be provided the opportunity to complete an FSF and to negotiate a DPA with the Company that meets the statutory requirements set forth under HEFPA; and all collections actions against these customers to be suspended; EHT, Volume 4 at page 1682, lines 5-8.

Such a proposal would be tremendously valuable to all of KEDNY/KEDLI's EBD customers. As a result, PULP urges the ALJ's to direct the Companies to create a web-based portal to better assist its EBD customers.

4. <u>Improving customer communications for customers who will have financial transactions through HRA/DSS involvement.</u>

In PULP's initial testimony, concern was raised regarding the Companies' billing practices when it comes to financial transactions involving the New York City Human Resources Administration ("HRA") or Suffolk County Department of Social Services ("DSS"). EHT, Volume 4, page 1667, lines 19-22. Such concerns include, a lack of warning or explanation for when "abeyances" are added to a customer's bill (abeyances are charges that appear on a customer's bill, often arising from some amount of past arrears, that were being held out of collections while the customer was on specific public assistance programs such as cash assistance).

Other concerns involve the customer's ability to clearly track benefits they have received, such as the Home Energy Assistance Program ("HEAP") grant and utility guarantees, when they are applied to their KEDNY/KEDLI account. When a customer visits HRA or DSS for energy related financial assistance, such assistance transfers directly from HRA or DSS to the Company. Then, the assistance is applied to the customer's account and the transaction will appear on the customer's bill and other account related documents, such as billing statements.

During the Evidentiary Hearing the Company acknowledged that there is a difference in roles with the issuing of financial assistance, which is DSS/HRA's responsibility, and controlling what appears on the customer's bill, which is KEDNY/KEDLI's responsibility. Specifically, the Company stated,

> "I would distinguish between the administration of the grant, the value of the grant, versus the bill. I'd say the bill is the company's responsibility, but the grant itself belongs

with the Department of Social Services or HRA." EHT, Volume 3, page 1257, lines 13-18.

At the same time, the Companies also acknowledged that assuring the customer's bill is accurate is the Companies' responsibility. EHT, Volume 3, page 1257, lines 11-23. PULP remains concerned that the Companies are not adequately alerting customers when there are changes to their bills relating to HRA or DSS involvement, nor is it easy to track grants, such as HEAP. With the Companies acknowledging that their burden is to provide their customers with accurate bills, PULP requests that the Companies be required to implement our proposals be in the resulting rate plan. These proposals include:

- Companies to develop applications that track public assistance status of PA customers and report such status to PA customers in "real-time" through their e-Billing portals (in the case of electronic billing customers) and through the mail anytime there is an update/change for non-electronic billing customers, helping PA customers and Companies to monitor § 131-s, UGC/DVC and HEAP status in a more timely manner and reducing unnecessary complaints and collections actions. EHT, Volume 4, page 1678, lines 9-17;
- Companies to provide PA customers complete, detailed reconciliations of all transactions between HRA/DSS and KEDNY/KEDLI pertaining to One-Shot grants, UGC/DVC assistance and HEAP grants, identifying any reconciling transactions that require follow up by the customer and/or the Company so as to ensure the accuracy of amounts owed by the customer. EHT, Volume 4, page 1678, lines 18-23;
- Companies to conduct telephone outreach to UGC/DVC customers with abeyance amounts at least annually to review their assistance status, including their abeyance amounts. Outreach to also include a reminder that once UGC/DVC status ends, customers are responsible for their own bills and the resolution of their abeyances. Summaries of discussions between CSRs and customers on these calls to be transmitted to each customer, who should be requested to return an acknowledgement of their agreement about the CSR summary, indicating any differences in their understandings of such phone conversations. EHT, Volume 4, page 1678, lines 28-29; page 1679 lines 1-6;
- Companies to grant automatic thirty-day extensions for customers whose UGC/DVC status ends, during which time these customers to be provided the opportunity to complete an FSF and to negotiate a DPA with the Company that meets the statutory requirements set forth under HEFPA. During the extension period, all collections actions against these customers should be suspended. EHT, Volume 4, page 1679 lines 7-11;
- Companies to provide an extension period of ninety days to those customers shown to have incomplete or erroneous reconciling transactions between the Companies and HRA/DSS — such as UGC/DVC payments that HRA/DSS was supposed to make to the Companies but did not, or payments made by HRA/DSS that were later rescinded — during which all collections actions would be suspended while the affected customers

attempt to resolve the reconciling transactions, complete an FSF and negotiate a HEFPA DPA. Extensions to commence as of the date any bill including added amounts related to HRA/DSS is mailed. During extension periods, affected customers should be given the opportunity to engage with specially designated Company personnel to dispute transfers customers contend are erroneous and to seek resolution of such disputes. During the extension period, these customers should also be provided the opportunity to complete an FSF and to negotiate a DPA with the Company that meets the statutory requirements set forth under HEFPA; and all collections actions against related to disputed amounts should be suspended. EHT, Volume 4, page 679, lines 16-22; and

- Companies to include regular messages on bills that reference communications between the Companies and customers regarding any pending HRA/DSS status changes, together with references to e-Billing portal resources described above helping to explain such transactions. EHT, Volume 4, page 679, lines 12-15.

As a result of the analysis discussed above, PULP encourages the ALJ's to recommend to the Commission that these proposals be adopted for the Companies' rate year. These proposals will provide significant benefit to KEDNY/KEDLI customers while providing efficiencies for the Companies' customer service representatives.

F. Outreach and Education

PULP reserves the right to address this issue in its reply brief.

G. Economic Development Programs

PULP reserves the right to address this issue in its reply brief.

XII. LOW INCOME PROGRAM

A. Calculating Discounts and Eligibility

PULP broadly supports the City of New York's ("City") conclusions in its direct testimony that:

1. The current low-income discount levels provided by the Companies in their energy assistance programs (EAPs) do not achieve a 6% energy burden for low-income customers, and;
2. The low-income discount calculation must be modified to achieve the commission's energy cost burden goal. Exhibit 540 at 1-26

The City's use of publicly available 2017 Public Use Micro Sample data based on Public Use Microdata Areas ("PUMAs"), which is part of the American Community Survey ("ACS"), to conduct its study of utility affordability in the Companies' service areas results in valuable insights about energy burdens. As the City notes, the ACS is conducted by the United States Census Bureau ("Census Bureau") on an ongoing basis and asks a representative sample of Americans questions related to income, housing, and other topics. It is designed to provide objective, replicable and testable measures of socioeconomic conditions on an annual basis for locality level data. The ACS uses a weighting method to ensure that its estimates are consistent with official Census Bureau population estimates by age, sex, race and Hispanic origin, as well as estimates of total housing units. It is a standard, industry accepted tool for measuring need among statistically representative samples of families and households that includes respondents' answers to questions related to their costs for electricity, utility natural gas and/or alternative heating fuels. Exhibit 544 at 10.

The City concludes that such an outcome was not the intent and directives included in the Commission's Low-income Order. PULP strongly agrees and argues that there must be modifications to the methodology for calculating the utility low-income program discount levels in order to achieve the 6% low-income customer energy cost burden as New York policy directs. Exhibit 544 at 24.

PULP further believes that the City of New York's methodology for calculating discounts for KEDNY should also be applied to KEDLI, where a household basis should be used due to a lack of family based data in the KEDLI service area equivalent to the data used by the City of New York in its analysis of the KEDNY service area.

B. Budget and Low Income Program Offerings

PULP reserves the right to address this issue in its reply brief.

C. Reconciliation

PULP reserves the right to address this issue in its reply brief.

D. Reporting Requirements

PULP reserves the right to address this issue in its reply brief.

E. Request for Additional Full-Time Equivalent Employee for Energy Assistance Program Participation

Please note, PULP has addressed this topic in conjunction with the following sub-topic, F.

F. Increasing EAP Participation (KEDLI); Including the addition of a Full-Time Equivalent Employee for the Energy Assistance Program Participation

PULP has expressed concerns about KEDLI's low enrollment level in its Energy Assistance Program ("EAP"), which is the Company's version of New York's statewide low-income Affordability Program, which provides a monthly discount for its customers with the purpose of decreasing low-income residential customer's energy burden to no more than six percent (as contemplated by the Commission in Case 14-M-0465). William Yates has estimated that with the number of the Companies' low-income customers with severe Housing Cost burdens, only 20 - 30% of potentially eligible KEDLI households are enrolled, compared to 70 – 90% for KEDNY. EHT, Volume 4, page 1645, lines 6-9; and Exhibit 569 at 8. As a result of this significant difference in enrollment in the EAP between KEDNY and KEDLI, PULP recommended increasing the Companies' proposal to increase by half an Full Time Equivalents ("FTE"), to one, full FTE Moreover, this additional full FTE should be dedicated to increasing KEDLI's EAP enrollment. EHT, Volume 4, page 1645, lines 12-23.

During the Hearing, the Companies recognized that "there has been a – a struggle with … reaching enrollment, particularly in the KEDLI service area." Evidentiary Hearing, Volume 3, page 1263, lines 18-20. The Companies at this point are looking to increase the FTE from an increase of a half, in the original testimony, to one full time equivalent. EHT, Volume 3, page 1265, lines 3-10. However, there still is no commitment that this additional FTE be directly focused on increasing KEDLI's enrollment. PULP respectfully requests that the ALJs recommend to the Commission that KEDLI do absolutely all that it can to direct more resources towards helping its low-income customers in Long Island. Increasing the FTE proposal from half to one-full FTE is a step in the right direction but a commitment to focusing on Long Island is needed to assure that the Commission's directive in Case 14-M-0465 is obeyed. Further, the goals set forth by the Commission are particularly vital in these troubled economic times.

G. Customer Balance Transfers

As discussed above (*see*, Section XI. Customer Service, E. Customer Service Enhancements, 2.) PULP believes that KEDNY/KEDLI should provide its customers with greater communication and documentation when it comes to balance transfers made consistently with the Commission's six-year statute of limitations. However, both PULP's initial testimony and the evidentiary hearings occurred prior to the CV-19 outbreak. Due to the dramatic economic effects posed by the health pandemic, PULP calls for an immediate suspension of any balance transfers. Such a transaction could result in a customer being financially prevented from opening an account with KEDNY/KEDLI and being able to shelter indoors, which is the antithesis of Governor Cuomo's "New York on PAUSE" policy established by Executive Order. Due to this concern, PULP urges the ALJs to direct the Companies to cease all balance transfers until the public health emergency caused by the CV-19 pandemic is lifted, and customers might reasonably have sufficient means to restart paying DPAs.

H. Elimination of reconnection fees for Energy Affordability Program customers (KEDNY)

PULP reserves the right to address this issue in its reply brief.

XIII. MANAGEMENT AUDIT COMPLIANCE

PULP expresses here its concerns that the existing process for conducting the management and operations audits of the Companies as was used in Case 18-M-0195 (the Audit) is insufficiently transparent and accountable. Concomitant with this concern, PULP argues that all communications and information exchanged in Case 18-M-0195 through April 6, 2020, providing details of the scope of procedures to be performed involving the Companies' compliance with Article 2 of the Public Service Law, known as the Home Energy Fair Practices Act ("HEFPA"), should be made available to the parties and the ALJs in Cases 19-G-0309 and 19-G-0310.

During the hearing, the ALJs requested an update from DPS Staff on the status of the Audit. EHT Volume 9. DPS Staff responded that:

> "So, as stated in Mr. Holst's testimony, at the time of assessment it was still ongoing. And I believe at that time it was already known that is was going to be concluded by department staff as opposed to the consultant who was then conducting the audit. And, if it wasn't stated that way in his testimony, it -- it -- that occurred shortly thereafter and so I'm informing the -- Your Honors in the record that -- that that is the case that the consultant was removed from the case. And department staff is concluding the audit; however, that -- the audit is still ongoing and so there is no report yet having been -- I can't talk this morning -- A report has not yet been issued and I do not anticipate one will be issued at least in the -- the near future, at least in the next I would say couple months at the very least. I don't honestly have a -- a known date for an expected release of that report." EHT, Volume 9, page 4219, lines 11-15.

Historically, the scope, procedures and findings of utility management and operations audits have direct implications for the issues addressed in rate cases. Included in most of these audits are procedures pertaining to HEFPA compliance, an area of strong importance to PULP. Given DPS Staff's statement that the consultant assigned to perform the current audit was removed, PULP has heightened concern that HEFPA compliance may not have been handled appropriately by the consultant. PULP is also concerned that the scope of audit procedures as

originally articulated in section 3.2.3.12.1 of its May 17, 2018 request for proposals in Case 18-M-0195 do not adequately provide specific guidance for auditing of HEFPA compliance. *See, Order Instituting Proceeding and Authorizing Issuance of a Request for Proposals*, Case 18-M-0195, Appendix 1 at 17. In that section, DPS simply states "Examine the adequacy and effectiveness of each utility's internal controls related to the Home Energy Fair Practices Act and Energy Consumer Protection Act –Rules (16 NYCRR Part 11)" as the audit requirement. There are no details of the nature and extent of procedures required to be performed; and most importantly, whether or not HEFPA compliance testing will be required.

DPS Staff indicated during the Evidentiary Hearing that while Department Staff is "concluding the audit", the audit is ongoing, no report has been issued and no report is anticipated for at least two months. EHT, Volume 9, page 4219, lines 11-15. In such a circumstance, DPS Staff and the Companies' are privy to evidence that may have a direct bearing on this case, but to which none of the other parties or the ALJs have had access. Given DPS Staff's discussion at the Evidentiary Hearing that there was no specific date for release of a report in the Audit Case, it is entirely possible that such a report will not be available to the ALJs for consideration in their recommended decision or the Commission for consideration in issuing any order(s) in these proceedings. PULP respectfully suggests that such a circumstance is contrary to the public interest and that therefore the aforementioned communications and information exchanged in Case 18-M-0195 through April 6, 2020 should be made available to the parties and ALJs in these proceedings.

XIV. CONCLUSION

As discussed above, PULP respectfully requests that the ALJs recommend to the Commission that it deny the Companies' requested rate increases in favor of the more reasonable rates as proposed by DPS Staff. PULP notes however that it has concerns that the calculations, forecasts and general economic assumptions underlying both the Companies' and Staff's proposals in this proceeding are based upon numbers that are no longer accurate and of "rate case quality." Consequently, PULP requests the ALJs to order the Company and Staff to refresh the underpinnings of the revenue requirement request and allow time for the intervening parties to provide additional analysis. Further, PULP respectfully requests that the ALJs require the

Companies to take such actions as will improve their customer service and treatment, and adherence to the State's greenhouse policies on a basis that does not create unaffordable bill impacts, as are practicable in a one year rate plan being ordered against a background of significant deterioration in the ratepayers' and State's financial positions.

Dated: April 6, 2020

Respectfully submitted,

/s/

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